Block practice · Lean production, technology and quality

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Technology and robotics in production

Lean production: JIT, Kaizen and using resources well

Quality, quality control and competitive advantage

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Practice workbook · Technology and robotics in production

Using robotics and technology in production and balancing cost, productivity, quality and flexibility.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S5-11

1. Question 2 · part c · 3 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part c only.

2 *Premier Inn* wants to retain its employees so it can continue to maintain the service it provides for guests.

(a) State **one** activity carried out by the marketing functional area at *Premier Inn*.

(1)

(b) State **one** reason why *Premier Inn* uses seasonal employees.

(1)

(c) Explain **one** reason why a business would use robotics in its production.

(3)

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1. Question 2 · part c · 3 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part c only.

(d) Explain **one** reason why a business might use sponsorship.

(3)

(e) Explain **one** advantage for a country of being in a trading bloc.

(3)

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P 7 5 9 6 1 R A 0 9 2 0

1. Question 2 · part c · 3 marks · Working and answer

Working and answer

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part d only.

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1 *The Alternative Drum School (TADS)* was set up in the wealthy area of Cricklade, England in 2008 by Ollie Tanner who had a passion for and enjoyed drumming. Ollie invested all of his savings into the drumming school. He saw the potential of being located away from other drumming schools.

Ollie promotes his business by writing columns in local papers, performing at local music festivals and by word of mouth recommendations. He has invested heavily in computer technology to allow students to produce the music they enjoy playing.

Ollie finds it difficult to maintain a good work-life balance. Ollie currently works 60 hours a week in a business that does not have reliable profits.

(a) (i) Which **one** of the following could a sole trader pay on its profits?

(1)

Select **one** answer.

- ☒ **A** Sales tax
- ☒ **B** Income tax
- ☒ **C** Corporation tax
- ☒ **D** Indirect tax

(ii) Which **one** of the following is a variable cost?

(1)

Select **one** answer.

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Packaging

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part d only.

(iii) Which **one** of the following is a method of primary market research?

(1)

Select **one** answer.

- ☒ **A** Newspaper articles
- ☒ **B** Government statistics
- ☒ **C** Focus groups
- ☒ **D** Internet research

(iv) Which **one** of the following is used to calculate net cash flow?

(1)

Select **one** answer.

- ☒ **A** Total cash inflow – total cash outflow
- ☒ **B** Total cash inflow + total cash outflow
- ☒ **C** Opening balance – closing balance
- ☒ **D** Opening balance + closing balance

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TADS has developed contracts with drumming schools in other countries to teach online music lessons.

An Italian drumming school has agreed that *TADS* can teach five lessons per week. Each lesson costs £15 for half an hour. The exchange rate in January 2019 was £1 = €1.15.

(v) What will the Italian drumming school pay in euros (€) for these five lessons?

(1)

Select **one** answer.

- ☒ **A** €5.75
- ☒ **B** €15.00
- ☒ **C** €75.00
- ☒ **D** €86.25

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part d only.

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In May 2019 the exchange rate was £1 = €1.05. *TADS* continued to provide the Italian drumming school with five lessons a week.

(vi) What effect would this change in the exchange rate have on the Italian drumming school?

(1)

Select **one** answer.

- ☒ **A** A decrease in cash outflows
- ☒ **B** An increase in import costs
- ☒ **C** A decrease in revenue
- ☒ **D** An increase in the internet costs

(b) Define the term **fixed costs**.

(1)

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(c) Define the term **stakeholder**.

(1)

(d) State **one** benefit to *TADS* of investing in computer technology.

(1)

2. Question 1 · part d · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part d only.

TADS buys a drum kit for £190 and sells it for £350.

(e) Calculate, to two decimal places, the mark up on this drum kit.

(2)

..... %

(f) Explain **one** disadvantage of being in a partnership.

(3)

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P 6 2 4 2 6 A 0 6 2 0

2. Question 1 · part d · 1 mark · Working and answer

Working and answer

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3. Question 1 · part b · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part b only.

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1 *Posh Pets Spain* (*PPS*) is a pet hotel in the village of Alhaurin el Grande, Spain. It is run by Rachel Goutorbe, an animal enthusiast, and her team of four pet specialists. *PPS* offers overnight accommodation with room for seven dogs or cats, a pet grooming service and a shop selling pet products, such as dog coats and dog leads. Pet grooming involves washing, cutting and combing a pet's coat.

(a) (i) Which **one** of the following is protected by legislation?

Select **one** answer.

(1)

- ☒ **A** Skills
- ☒ **B** Age
- ☒ **C** Experience
- ☒ **D** Ability

(ii) Which **one** of the following represents a star product on the Boston matrix?

Select **one** answer.

(1)

- ☒ **A** High market growth, high market share
- ☒ **B** High market growth, low market share
- ☒ **C** Low market growth, high market share
- ☒ **D** Low market growth, low market share

(iii) Which **one** of the following is the method of production where one unit of output is completed at a time?

Select **one** answer.

(1)

- ☒ **A** Lean
- ☒ **B** Flow
- ☒ **C** Batch
- ☒ **D** Job

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3. Question 1 · part b · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part b only.

(iv) Which **one** of the following is a current asset?

Select **one** answer.

(1)

- ☒ **A** Vehicle
- ☒ **B** Cash
- ☒ **C** Building
- ☒ **D** Factory

PPS imports handmade leather dog collars from the UK. Each dog collar costs £26.50.

The exchange rate is €1 (euro) = £0.84 (pound).

(v) Which **one** of the following is the total cost in euros when buying 20 dog collars from the UK?

Select **one** answer.

(1)

- ☒ **A** €22.56
- ☒ **B** €445.20
- ☒ **C** €630.95
- ☒ **D** €513.20

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3. Question 1 · part b · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part b only.

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Figure 1 gives details of the *PPS* pet grooming service.

Average number of customers each month	30
Average price per service	€54
Variable costs per service	€17.25
Fixed costs per month	€175

Figure 1

(vi) Which **one** of the following is the total monthly cost for *PPS*?

Select **one** answer.

(1)

- ☒ **A** €692.50
- ☒ **B** €931.50
- ☒ **C** €2137.50
- ☒ **D** €2312.50

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3. Question 1 · part b · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part b only.

Many manufacturers make use of robots in their production processes.

(b) Define the term **robotics**.

(1)

(c) Define the term **capital intensive production**.

(1)

PPS has seen lower sales of its pet accessories.

(d) State **one** extension strategy *PPS* could use to extend the life cycle of the pet accessories.

(1)

PPS is planning to take on additional employees. The hourly minimum wage in Spain is €7.45. The government is increasing this hourly minimum by 3.5%.

(e) Calculate the new hourly minimum wage after the increase of 3.5%. You are advised to show your working.

(2)

€ .....

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P 7 5 8 4 1 A 0 6 2 4

3. Question 1 · part b · 1 mark · Working and answer

Working and answer

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4. Question 1 · part f · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

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1 *Tata Motor Company* began trading in 1868, and is now part of a large group of companies that is estimated to be worth $100 billion. *Tata Motor Company* manufactures a wide range of cars, buses and trucks. It is India's largest maker of vehicles with manufacturing centres in many countries including Korea, Italy and the UK.

One of the main aims of *Tata Motor Company* is to produce goods that the public want and need. It is currently working on electric cars that are more environmentally friendly. *Tata Motor Company* plays an active role in community development such as building schools, houses and investing in the health and welfare of local people.

(Source adapted from: https://www.tatamotors.com/about-us/)

(a) (i) Which **one** of the following is an external source of finance?

(1)

- ☒ **A** Retained profit
- ☒ **B** Selling assets
- ☒ **C** Sales revenue
- ☒ **D** Share capital

(ii) Which **one** of the following forms of discrimination is covered by legislation?

(1)

- ☒ **A** Ability
- ☒ **B** Age
- ☒ **C** Ethical
- ☒ **D** Political

(iii) Which **one** of the following could be used to gather data for a business?

(1)

- ☒ **A** Market research
- ☒ **B** Market orientation
- ☒ **C** Market segmentation
- ☒ **D** Market place

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4. Question 1 · part f · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

(iv) In a break-even graph, the break-even point is when:

(1)

- ☒ **A** total costs and fixed costs are the same
- ☒ **B** fixed costs and variable costs are the same
- ☒ **C** total costs and revenue are the same
- ☒ **D** fixed costs and revenue are the same

Figure 1 gives details of one of the many suppliers of tyres to *Tata Motor Company.*

Production each month	2,400
Average price per tyre	€27
Variable costs per tyre	€12
Fixed costs per month	€6 000

Figure 1

(v) What are the monthly total costs for the business?

(1)

- ☒ **A** €8 412
- ☒ **B** €34 800
- ☒ **C** €74 400
- ☒ **D** €204 000

A customer in Germany wishes to buy a Tata Nano car from India. The cost of this vehicle is 465 000 Indian Rupees (RS). The exchange rate is €1.00 = RS78

(vi) What would the German customer pay to the nearest euro for the car?

(1)

- ☒ **A** €3 621
- ☒ **B** €4 650
- ☒ **C** €5 962
- ☒ **D** €36 270

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4. Question 1 · part f · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

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(b) Define the term **insolvency**.

(1)

(c) Define the term **product life cycle**.

(1)

(d) State **one** reason why a *Tata Motor Company* employee could be dismissed.

(1)

In December 2016 the global vehicle sales for *Tata Motor Company* were 89,841.

In December 2017 the global vehicle sales figure was 23% higher.

(e) Calculate the global vehicle sales for *Tata Motor Company* in December 2017. You are advised to show your working.

(2)

(f) Explain **one** impact of technology on the manufacture of vehicles.

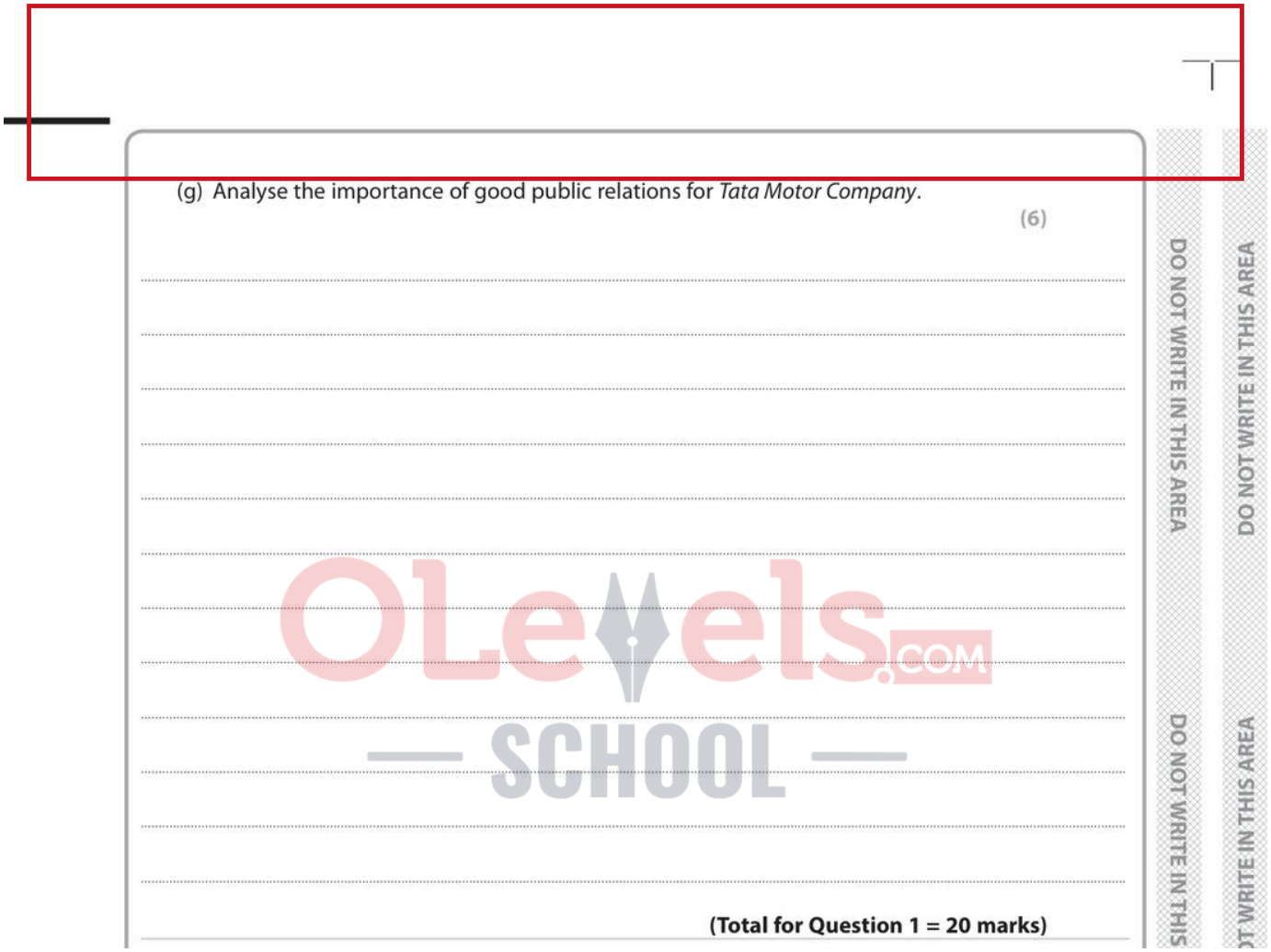
(3)

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4. Question 1 · part f · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.



(g) Analyse the importance of good public relations for *Tata Motor Company*.

(6)

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(Total for Question 1 = 20 marks)

4. Question 1 · part f · 3 marks · Working and answer

Working and answer

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5. Question 3 · part b · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

3 *HRMW* employs staff to design the products it manufactures. The aim is to add features so that the products are better than any others on the market.

(a) Define the term **e-tailers**.

(1)

(b) Outline **one** reason why *HRMW* uses robotics in the production of its goods.

(2)

If *HRMW* produce tennis racquets with the following costs:

Fixed costs = 300 000 Rupees

Variable costs = 3 000 Rupees

Sale price = 5 000 Rupees

(c) Calculate the number of tennis racquets that would have to be made to break-even. You are advised to show your working.

(2)

..... Tennis racquets

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5. Question 3 · part b · 2 marks · Working and answer

Working and answer

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6. Question 3 · part b · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

3 *Huawei* constantly has to introduce new products to the market to keep up to date with its competitors. If it does not do this then there is the possibility that other businesses will succeed where *Huawei* will not.

(a) Define the term **revenue**.

(1)

(b) Outline **one** reason why *Huawei* would use robotics in the production of its products.

(2)

In 2018 *Huawei* took out a one-year loan for 69 941 000 000 Renminbi (CNY) from a bank. The bank charged interest of 4.5% on the loan.

(c) Calculate the interest *Huawei* would pay. You are advised to show your working.

(2)

..... CNY

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6. Question 3 · part b · 2 marks · Working and answer

Working and answer

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7. Question 3 · part b · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

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3 *Kraft Heinz* has set itself many targets to reach before 2025. These include reducing its impact on the environment and improving its use of robotic technology for production. It is hoped that these targets will lower the impact *Kraft Heinz* production has on the environment by reducing its waste and greenhouse gases that contribute to global warming.

(a) Define the term **public limited company**.

(1)

(b) Outline **one** impact that will come from *Kraft Heinz*'s use of robotic technology.

(2)

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7. Question 3 · part b · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

Figure 2 shows the amount of waste to landfill for *Kraft Heinz* from 2019 to 2021.

	Landfill (metric tons)
2019	100,595
2020	92,856
2021	82,617

Figure 2

(c) Calculate the decrease in waste to landfill in metric tons for *Kraft Heinz* from 2019 to 2021. You are advised to show your working.

(2)

..... metric tons

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7. Question 3 · part b · 2 marks · Working and answer

Working and answer

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8. Question 1 · part g · 6 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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1 *Can Culleretes* is a restaurant based in the Spanish city of Barcelona. Opening in 1786 it is the second oldest restaurant in Spain. It has been run by the Agut-Manubens family since 1958 and serves a variety of Mediterranean food. Sisters Montserrat and Alicia are co-owners of the restaurant with six members of the family working for them. The restaurant is near to popular tourist attractions and close to many other restaurants. It opens for lunch and dinner only.

(a) (i) Which **one** of the following could immediately improve cash flow?

Select **one** answer.

(1)

- ☒ **A** Allow customers to pay later
- ☒ **B** Launch an advertising campaign
- ☒ **C** Increase inventory of raw materials
- ☒ **D** Pay suppliers later

(ii) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Internet
- ☒ **B** Postal survey
- ☒ **C** Newspaper
- ☒ **D** Government report

(iii) Which **one** of the following is a fixed cost?

Select **one** answer.

(1)

- ☒ **A** Rent
- ☒ **B** Packaging
- ☒ **C** Weekly wages
- ☒ **D** Raw materials

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8. Question 1 · part g · 6 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(iv) Which **one** of the following is used to calculate the break-even point?

Select **one** answer.

(1)

- ☒ **A** Fixed costs × (selling price + variable costs)
- ☒ **B** Fixed costs × (selling price – variable costs)
- ☒ **C** Fixed costs ÷ (selling price + variable costs)
- ☒ **D** Fixed costs ÷ (selling price – variable costs)

For its Winter menu *Can Culleretes* buys 10 kilograms (kg) of salmon from Scotland every week at a cost of £19.17 per kilogram.

In November 2021 the exchange rate was £1 = €1.17

(v) Which **one** of the following is the total cost in euros of buying a two week supply of salmon?

Select **one** answer.

(1)

- ☒ **A** €191.70
- ☒ **B** €224.29
- ☒ **C** €383.40
- ☒ **D** €448.58

Can Culleretes buys its prawns from a local fishmonger at a cost of €11.50 a kilogram. It is then sold to customers for €13.70 a kilogram.

(vi) What is the markup on a kilogram of prawns?

Select **one** answer.

(1)

- ☒ **A** 11.5%
- ☒ **B** 13.7%
- ☒ **C** 19.1%
- ☒ **D** 23.0%

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8. Question 1 · part g · 6 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(b) Define the term **job production**.

(1)

(c) Define the term **diseconomies of scale**.

(1)

(d) State **one** method *Can Culleretes* could use to collect quantitative market research.

(1)

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Figure 1 is an extract from *Can Culleretes'* cash-flow forecast.

	June
Opening balance	€4 400
Cash inflow	€4 600
Cash outflow	€3 000
Net cash flow	

Figure 1

(e) Calculate the net cash flow for *Can Culleretes* in June. You are advised to show your working.

(2)

€.....

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5

Turn over ▶

8. Question 1 · part g · 6 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(f) Explain **one** benefit to a business of improving communication with its employees.

(3)

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8. Question 1 · part g · 6 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Can Culleretes is looking to launch an app that allows customers to order their meals in the restaurant using their mobile phones.

(g) Analyse the likely impact on productivity if *Can Culleretes* launches this app.

(6)

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(Total for Question 1 = 20 marks)

8. Question 1 · part g · 6 marks · Working and answer

Working and answer

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9. Question 4 · part b · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

4 In 2019 *LEGO* had current assets of 34 946 million DKK and current liabilities of 12 763 million DKK.

(a) Calculate, to two decimal places, the current ratio in 2019. You are advised to show your working.

(2)

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9. Question 4 · part b · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

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Quality has always been one of *LEGO*'s main values. It wants everything that it makes and sells to be the best so its toys can help children learn and develop. It has a motto that 'only the best is good enough'. The founder of *LEGO* set a company rule that 'No one must be able to do this, better than us'. He also stated that he wanted 'only the best people that money could buy' to work at the business.

(b) Analyse the benefits to *LEGO* of increasing the use of robotics in the manufacture of toys and games.

(6)

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9. Question 4 · part b · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

LEGO has progressed from a small carpenter's shop to a global enterprise and has been named 'Toy of the Century' twice.

(c) Evaluate how *LEGO* has maintained a competitive advantage in the making of toys and games. You should use the information provided as well as your own knowledge of business.

(12)

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9. Question 4 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 4 · part b · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

4 Some of the smaller shops selling *Rabanne* products have introduced a 5% commission for sales assistants.

(a) Calculate, to two decimal places, the commission a sales assistant would earn if they have sold goods valued at £850. You are advised to show your working.

(2)

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10. Question 4 · part b · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Analyse the benefits to *Rabanne* of using robotics to manufacture its products.

(6)

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10. Question 4 · part b · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Rabanne is constantly working on improving its relationship with the public by introducing refillable glass bottles to reduce the number of bottles being thrown away. *Rabanne* is working to reduce the impact it has on the environment by having sustainable packaging, as well as donating to charities.

(c) Evaluate the effect for *Rabanne* of working hard to maintain and improve its public relations. You should use the information provided as well as your own knowledge of business.

(12)

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10. Question 4 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Lean production: JIT, Kaizen and using resources well

Just-in-time, Kaizen and using resources effectively: meanings, benefits, risks and choosing a lean method.

14 question parts: 1 worked-example retry and 13 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S5-07

1. Question 2 · part c · 3 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part c only.

2 (a) State **one** reason why *Starbucks* should have good communication with its customers.

(1)

(b) State **one** way *Starbucks* could follow health and safety legislation.

(1)

(c) Explain **one** reason why many manufacturing businesses use just-in-time (JIT).

(3)

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1. Question 2 · part c · 3 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part c only.

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(d) Explain **one** reason why it is important that businesses pay their suppliers on time.

(3)

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(e) Explain **one** effect on a business if interest rates are decreased.

(3)

1. Question 2 · part c · 3 marks · Working and answer

Working and answer

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2. Question 1 · part a.iv · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part a.iv only.

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1 (a) (i) Which **one** of the following sectors would a retail outlet operate in?

(1)

Select **one** answer.

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quarternary

(ii) Which **one** of the following would be used to select a group of applicants for interview?

(1)

Select **one** answer.

- ☒ **A** Training
- ☒ **B** Shortlisting
- ☒ **C** Marketing
- ☒ **D** Advertising

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2. Question 1 · part a.iv · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part a.iv only.

NEXT purchased 5,000 dresses from a Turkish manufacturer at 101.10 New Turkish Lira (TRY) per dress.

The exchange rate is £1.00 (GBP) = 6.74 (TRY)

(iii) Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses?

(1)

Select **one** answer.

- ☒ **A** 5 101
- ☒ **B** 5 674
- ☒ **C** 33 700
- ☒ **D** 75 000

(iv) Which **one** of the following describes Kaizen?

(1)

Select **one** answer.

- ☒ **A** Skilled manufacturing
- ☒ **B** Just-in-time (JIT)
- ☒ **C** Market orientated
- ☒ **D** Continuous improvement

Figure 1 shows the number of online customers using *NEXT* in 2017–2018.

	2017 Millions	2018 Millions
Online customers	4.7	4.9

Figure 1

(v) What is the percentage increase, to two decimal places, of online customers from 2017 to 2018?

(1)

Select **one** answer.

- ☒ **A** 2.00%
- ☒ **B** 4.08%
- ☒ **C** 4.26%
- ☒ **D** 4.70%

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2. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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3. Question 1 · part d · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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1 *Aude Rose* is a flower shop in Paris, France. It was set up by Aude Anglaret after she graduated with a qualification in floristry. It opened a shop in 2009 in the outskirts of Paris. Since then it has gone from strength to strength increasing its market share. To meet this increase in demand it has closed its first shop and opened a larger one in the centre of Paris with a higher rent and a possible increase in customers. It currently employs four florists. *Aude Rose* has been recognised for its high-quality flower arrangements that have been seen in several wedding magazines.

(a) (i) Which **one** of the following describes a minimum wage?

Select **one** answer.

(1)

- ☒ **A** Fixed amount per year and paid monthly
- ☒ **B** The lowest amount a business can legally pay its employees
- ☒ **C** Payment made to an employee for working additional hours
- ☒ **D** Payment made to an employee for reaching a target

(ii) Which **one** of the following describes the cash cow category in the Boston matrix?

Select **one** answer.

(1)

- ☒ **A** High market growth, high market share
- ☒ **B** High market growth, low market share
- ☒ **C** Low market growth, high market share
- ☒ **D** Low market growth, low market share

(iii) Which **one** of the following would give a business a negative cash flow?

Select **one** answer.

(1)

- ☒ **A** Cash inflow is greater than cash outflow
- ☒ **B** Costs are greater than profits
- ☒ **C** Profits are greater than costs
- ☒ **D** Cash outflow is greater than cash inflow

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3. Question 1 · part d · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(iv) Which **one** of the following is a recruitment document that outlines the tasks and responsibilities of a job?

Select **one** answer.

(1)

- ☒ **A** Job description
- ☒ **B** Person specification
- ☒ **C** Application form
- ☒ **D** Curriculum vitae

To wrap its flowers *Aude Rose* buys 150 metres of wrapping paper from London, England every week at a cost of £0.46 per metre.

In October 2022 the exchange rate was £1 = €1.15

(v) Which **one** of the following is the total cost, in euros, of buying a four week supply of wrapping paper?

Select **one** answer.

(1)

- ☒ **A** €79.35
- ☒ **B** €276.00
- ☒ **C** €317.40
- ☒ **D** €396.75

Aude Rose provides flowers for large events. The most popular is a selection of traditional flowers selling for €65. The cost of making this selection of flowers is €42.

(vi) Which **one** of the following is the markup for a selection of traditional flowers?

Select **one** answer.

(1)

- ☒ **A** 54.76%
- ☒ **B** 64.62%
- ☒ **C** 182.61%
- ☒ **D** 282.61%

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3. Question 1 · part d · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(b) Define the term **economies of scale**.

(1)

(c) Define the term **stakeholder**.

(1)

(d) State **one** benefit to *Aude Rose* of using just-in-time (JIT) production.

(1)

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Aude Rose has fixed costs of €50 000 a year with a selling price of €50 and a variable cost of €10 per bunch of flowers sold.

(e) Calculate how many bunches of flowers *Aude Rose* will have to sell to break-even. You are advised to show your working.

(2)

..... bunches of flowers

3. Question 1 · part d · 1 mark · Working and answer

Working and answer

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4. Question 1 · part a.i · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a.i only.

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1 Jimmy Choo was born in Malaysia. He moved to London and became the founder of *Jimmy Choo*. The business was first known for the shoes it made for women.

Over the years the business has become a multinational business. It has expanded into countries including America, Japan and France. As part of its growth, it now sells clothing, perfume, trainers and wedding outfits. Many celebrities in the fashion and music world are well known for purchasing *Jimmy Choo* products.

Jimmy Choo's brand is identified by its logo, 'JC', which is printed on all items produced. The business has won many awards over the years, including 'Designer of the Year' and 'Ace Brand of the Year'.

(a) (i) Which **one** of the following describes Kaizen?

Select **one** answer.

(1)

- ☒ **A** Continuous improvement
- ☒ **B** Just-in-time (JIT)
- ☒ **C** Market orientation
- ☒ **D** Job production

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(ii) Which **one** of the following function areas would pay its employees' wages?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human resources
- ☒ **C** Marketing
- ☒ **D** Production

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Turn over ▶

4. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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5. Question 3 · part a · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

3 (a) Define the term **just-in-time (JIT)**.

(1)

(b) Outline **one** reason why *Rabanne* uses different methods to advertise job vacancies.

(2)

Figure 2 shows the current assets for *Rabanne* in 2021 and 2022.

Year	Current Assets
2021	$8 527
2022	$5 952

Figure 2

(c) Calculate, to two decimal places, the percentage decrease in current assets. You are advised to show your working.

(2)

..... %

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5. Question 3 · part a · 1 mark · Working and answer

Working and answer

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6. Question 2 · part e · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

2 (a) State **one** primary research method that *Loaf* could use.

(1)

(b) State **one** drawback for *Loaf* of poor customer service.

(1)

(c) Explain **one** benefit to a business of using e-newsletters.

(3)

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6. Question 2 · part e · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

(d) Explain **one** responsibility of the human resources function in a business.

(3)

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(e) Explain **one** way in which the just in time (JIT) method of stock control might benefit a business.

(3)

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6. Question 2 · part e · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

Loaf would like to carry out some promotional activities to increase customer numbers for its bakery and cookery courses.

It is considering the following two options:

Option 1: offering free bite-sized pieces of its bread and cakes to people passing its shop

Option 2: using posters to advertise *Loaf* in local charity shops.

(f) Justify which **one** of these two options *Loaf* should choose.

(9)

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6. Question 2 · part e · 3 marks · Working and answer

Working and answer

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7. Question 3 · part b · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

3 (a) Define the term **non-current assets**.

(1)

(b) Outline **one** disadvantage to *Can Culleretes* of increasing the amount of inventory it holds.

(2)

Figure 2 is an extract of financial information from *Can Culleretes*.

Sales revenue	€19 220
Cost of sales	€14 720
Gross profit	€4 500

Figure 2

(c) Calculate, to 2 decimal places, the gross profit margin. You are advised to show your working.

(2)

.....%

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12

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7. Question 3 · part b · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 2 · part e · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

2 *Cadbury* wants to appoint committed people who will become valued employees.

(a) State **one** item of information that an applicant might include in their Curriculum Vitae (CV) when applying for a position with *Cadbury*.

(1)

(b) State **one** item of information that may appear in a job description for a *Cadbury* Production Line Supervisor.

(1)

(c) Explain **one** method a business could use to motivate its employees.

(3)

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8. Question 2 · part e · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(d) Explain **one** reason why a business has fully trained employees.

(3)

(e) Explain **one** reason why many manufacturing businesses use Kaizen in their factories.

(3)

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8. Question 2 · part e · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Cadbury wants to retain its skilled employees. To do this it is looking to offer them different ways of working. It is considering the following two options:

Option 1: allowing employees to work part-time

Option 2: allowing employees to job share.

(f) Justify which **one** of these two options *Cadbury* should choose.

(9)

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8. Question 2 · part e · 3 marks · Working and answer

Working and answer

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9. Question 1 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

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1 *IKEA* is a well-known home furniture retailer with stores throughout the world. It was started in 1943 by Ingvar Kamprad when he was given some money by his father for doing well at school. He wanted to produce furniture at a price that people could afford to buy.

He realised that transporting furniture to customers was difficult as goods were often damaged. He developed flat packs to avoid damage. A flat pack contained all the materials needed to self-assemble a table, a chair or a bed.

All *IKEA* stores are run as franchises.

(a) (i) Which **one** of the following is a financial business objective?

Select **one** answer.

(1)

- ☒ **A** Challenge
- ☒ **B** Social objectives
- ☒ **C** Survival
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is an advantage to a business of using venture capital?

Select **one** answer.

(1)

- ☒ **A** It decreases access to other sources of finance
- ☒ **B** It keeps ownership in the business
- ☒ **C** It improves public relations
- ☒ **D** It can receive expert advice

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9. Question 1 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

A Canadian supplier of timber charges *IKEA* $19.75 Canadian Dollars (CAD) per load.

The exchange rate is $1 CAD = 6.58 Swedish Krona (SEK).

(iii) Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona?

Select **one** answer.

(1)

- ☒ **A** 151.98 SEK
- ☒ **B** 3 001.52 SEK
- ☒ **C** 19 750.00 SEK
- ☒ **D** 129 955.00 SEK

An *IKEA* dining table costs *IKEA* 3 800 SEK to make. The table sells for 4 400 SEK.

(iv) Which **one** of the following is the correct markup?

Select **one** answer.

(1)

- ☒ **A** 1.16%
- ☒ **B** 13.64%
- ☒ **C** 15.79%
- ☒ **D** 115.79%

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9. Question 1 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

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Figure 1 is a diagram of a product life cycle.

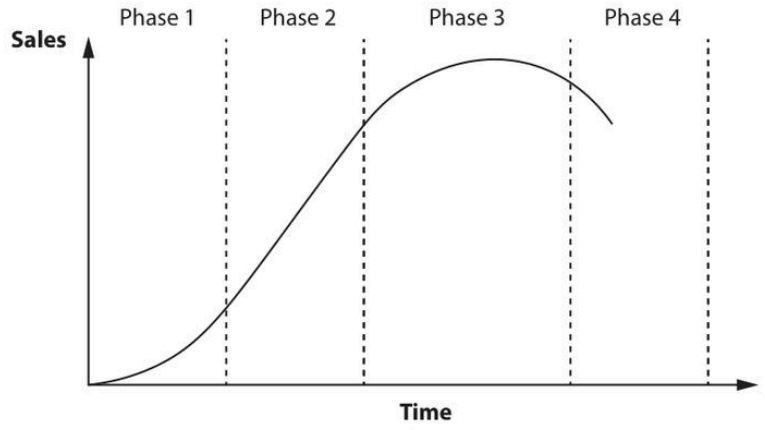


Figure 1

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(v) Which **one** of the following is Phase 3 of the product life cycle?

Select **one** answer.

(1)

- ☒ **A** Decline
- ☒ **B** Growth
- ☒ **C** Introduction
- ☒ **D** Maturity

(vi) Which **one** of the following are equal in a break-even graph?

Select **one** answer.

(1)

- ☒ **A** Fixed costs and variable costs
- ☒ **B** Fixed costs and revenue
- ☒ **C** Total costs and fixed costs
- ☒ **D** Total costs and revenue

9. Question 1 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

(b) Define the term **person specification**.

(1)

(c) Define the term **quality control**.

(1)

(d) State **one** reason why *IKEA* provides induction training for new employees.

(1)

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Figure 2 is an extract from *IKEA*'s Statement of Income for 2020.

	Euros (€) millions
Revenue	37 368
Cost of sales and services	25 643
Gross profit	11 725

Figure 2

(e) Calculate, to two decimal places, the gross profit margin for 2020. You are advised to show your working.

(2)

.....%

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9. Question 1 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

(f) Explain **one** reason why businesses want to use resources effectively in manufacturing.

(3)

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9. Question 1 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

(g) Analyse the benefits to *IKEA* of all its stores being franchises.

(6)

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(Total for Question 1 = 20 marks)

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9. Question 1 · part f · 3 marks · Working and answer

Working and answer

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10. Question 1 · part g · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

1 (a) (i) Which sector does a clothing retailer operate in?

(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quaternary

(ii) Which **one** of the following is an example of a fixed cost?

(1)

- ☒ **A** Rent
- ☒ **B** Overdraft charges
- ☒ **C** Raw materials
- ☒ **D** Commission

Yellow's store in Dubai ordered 2,000 T-shirts at a cost of 6 000 Rupees each. Currently the exchange rate is 1 Rupee = 0.032 Dirham (AED).

(iii) What would the *Yellow* store in Dubai pay in Dirhams for the 2,000 T-shirts?

(1)

- ☒ **A** 62 500
- ☒ **B** 187 500
- ☒ **C** 375 000
- ☒ **D** 12 000 000

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10. Question 1 · part g · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

Six months later, *Yellow* placed a repeat order for the same number of T-shirts at the same price. The exchange rate now is 1 Rupee = 0.042 AED.

(iv) What would be an effect on *Yellow* of the change in the exchange rate?

(1)

- ☒ **A** Lower profit
- ☒ **B** Higher variable costs
- ☒ **C** Cash flow deteriorates
- ☒ **D** Could charge lower prices

(v) Which **one** of the following is a long-term source of finance?

(1)

- ☒ **A** Sales revenue
- ☒ **B** Reinvested profit
- ☒ **C** Trade credit
- ☒ **D** Bank overdraft

Figure 1 shows financial information in Rupees for 2015 to 2016.

Year ending	2016	2015
Revenue	13 399 000	12 880 000

Figure 1

(vi) What is the percentage increase in revenue from 2015 to 2016?

(1)

- ☒ **A** 4.03%
- ☒ **B** 5.19%
- ☒ **C** 6.44%
- ☒ **D** 8.69%

(b) Define the term **crowdfunding**.

(1)

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10. Question 1 · part g · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(c) Define the term **branding.**

(1)

(d) State **one** diseconomy of scale that could affect *Yellow*.

(1)

Yellow could use the cost plus method of pricing for the clothes it sells.

(e) Calculate the selling price of a T-shirt that costs *Yellow* 252 (AED) if the mark-up was 17%. You are advised to show your working.

(2)

AED

(f) Explain **one** advantage for a business of having loyal customers.

(3)

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10. Question 1 · part g · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

(g) Analyse why *Yellow* might encourage its clothing manufacturers to use Kaizen.

(6)

(Total for Question 1 = 20 marks)

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10. Question 1 · part g · 6 marks · Working and answer

Working and answer

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11. Question 4 · part b · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part b only.

4 *AWG* sells men's jumpers for 34 000 ISK. An employee who sells a jumper is rewarded with a commission payment. This is 2% of the price of the jumper.

(a) Calculate the commission payment paid to an employee selling 12 jumpers. You are advised to show your working.

(2)

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11. Question 4 · part b · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part b only.

AWG is considering introducing Kaizen.

(b) Analyse how this could affect its business.

(6)

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11. Question 4 · part b · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part b only.

AWG's social objectives include the use of natural materials, being environmentally friendly and reducing waste.

(c) Evaluate the impact on *AWG* of having these social objectives when planning to grow the business. You should use the information provided as well as your own knowledge of business.

(12)

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11. Question 4 · part b · 6 marks · Working and answer

Working and answer

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12. Question 3 · part d · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

3 (a) Define the term **just-in-time (JIT)**.

(1)

(b) Outline **one** reason why *Rabanne* uses different methods to advertise job vacancies.

(2)

Figure 2 shows the current assets for *Rabanne* in 2021 and 2022.

Year	Current Assets
2021	$8 527
2022	$5 952

Figure 2

(c) Calculate, to two decimal places, the percentage decrease in current assets. You are advised to show your working.

(2)

..... %

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12. Question 3 · part d · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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Packaging of all its products is important to *Rabanne*. It wants to ensure that all products delivered to customers are in the best condition and not damaged. However, it works hard to reduce the amount of packaging, thus reducing waste.

(d) Analyse the importance for *Rabanne* of using its resources effectively.

(6)

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12. Question 3 · part d · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Over the past few years a number of new aftershave and perfume businesses have opened and may compete with *Rabanne*. To keep up with its competitors *Rabanne* is reviewing its marketing strategies. It is considering the following two options:

Option 1: increasing the number of product trials

Option 2: increasing advertising.

(e) Justify which **one** of these two options *Rabanne* should choose.

(9)

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12. Question 3 · part d · 6 marks · Working and answer

Working and answer

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13. Question 2 · part f · 9 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

2 *HRMW* carries out market research on a regular basis.

(a) State **one** function that human resources at *HRMW* would carry out.

(1)

(b) State **one** reason why *HRMW* carries out market research.

(1)

(c) Explain **one** benefit of using penetration pricing for a new product.

(3)

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13. Question 2 · part f · 9 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

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(d) Explain **one** benefit to a business of using the internet to carry out secondary market research.

(3)

(e) Explain **one** benefit to a business of continually introducing new products.

(3)

OLevels.com SCHOOL

13. Question 2 · part f · 9 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

HRMW is always looking to improve its methods of production. To do this it is considering using the following two options:

Option 1: kaizen

Option 2: just-in-time (JIT).

(f) Justify which **one** of these two options *HRMW* should use.

(9)

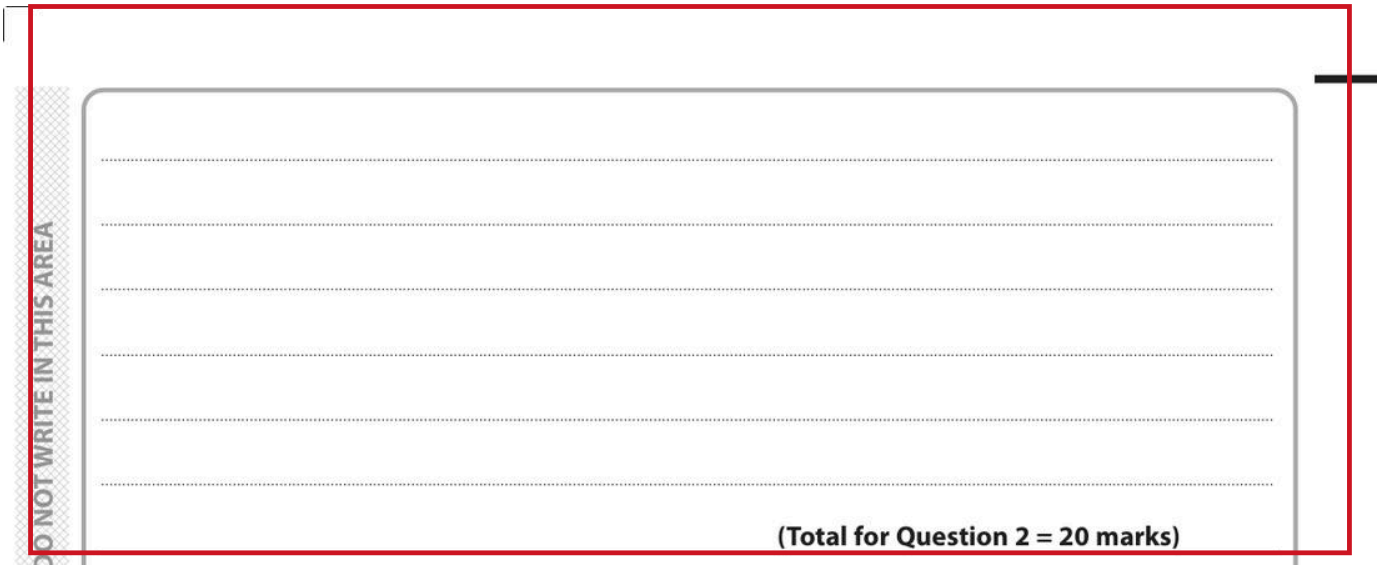
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13. Question 2 · part f · 9 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.



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13. Question 2 · part f · 9 marks · Working and answer

Working and answer

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14. Question 3 · part e · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

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3 (a) Define the term **exporter**.

(1)

(b) Outline **one** advantage to *Samsung* of using flow production when manufacturing its products.

(2)

The cost of manufacturing a *Samsung* laptop is 520 000 KRW (South Korean won). The mark-up is 25% on the manufacturing costs.

(c) Calculate the selling price of the laptop. You are advised to show your workings.

(2)

.....KRW

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14. Question 3 · part e · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

(d) Analyse why profit is important to *Samsung*.

(6)

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P 7 8 9 7 1 A 0 1 4 2 0

14. Question 3 · part e · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

Samsung has invested $17 million to build a factory in Texas, USA. It plans to introduce lean production in this new factory to minimise its costs.

It is considering the following two options:

Option 1: Just in time (JIT)

Option 2: Kaizen.

(e) Justify which **one** of these two options *Samsung* should choose to minimise its costs.

(9)

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14. Question 3 · part e · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

14. Question 3 · part e · 9 marks · Working and answer

Working and answer

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Practice workbook · Quality, quality control and competitive advantage

Quality control, total quality management, why quality matters for goods and services, and how quality and other strengths give competitive advantage.

17 question parts: 1 worked-example retry and 16 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S5-14

1. Question 2 · part e · 3 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part e only.

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2 *Kraft Heinz* has different functional areas within the business. These functional areas work together to ensure that *Kraft Heinz* maintains high standards of production with limited waste material.

Kraft Heinz aims to be involved in the local area through various methods such as charity and sporting events.

(a) State **one** task that human resources would carry out at *Kraft Heinz* when recruiting an employee.

(1)

(b) State **one** financial objective *Kraft Heinz* might have.

(1)

(c) Explain **one** reason why some businesses use crowdfunding as a source of finance.

(3)

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1. Question 2 · part e · 3 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part e only.

(d) Explain **one** disadvantage to a business of using retained profits to purchase goods and services.

(3)

(e) Explain **one** reason why the quality of goods manufactured by a business is important to its success.

(3)

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1. Question 2 · part e · 3 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part e only.

Kraft Heinz constantly aims to promote its products to encourage people to increase sales. To do this *Kraft Heinz* is considering using the following techniques:

Option 1: sponsorship of a local charity

Option 2: increasing the number of special offers.

(f) Justify which **one** of these two options *Kraft Heinz* should choose.

(9)

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1. Question 2 · part e · 3 marks · Working and answer

Working and answer

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2. Question 2 · part a · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a only.

2 (a) State **one** reason why *Artify Studio* would want to offer a high-quality service.

(1)

(b) State **one** advantage for *Artify* Studio of using part-time employees.

(1)

(c) Explain **one** benefit to a business of being a partnership.

(3)

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2. Question 2 · part a · 1 mark · Working and answer

Working and answer

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3. Question 2 · part b · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

2 During the preparation of food, the chefs at *Can Culleretes* have to follow health and safety regulations. New regulations are made from time to time.

(a) State **one** impact government legislation could have on *Can Culleretes*.

(1)

(b) State **one** way *Can Culleretes* might add value to its business.

(1)

(c) Explain **one** method a business could use to encourage repeat purchase of its products.

(3)

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3. Question 2 · part b · 1 mark · Working and answer

Working and answer

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4. Question 1 · part d · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part d only.

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1 *The Better Toy Store (TBTS)* is a children's toy shop. *TBTS* has three shops in Singapore. Two of the shops are located in busy shopping malls and the third is located at the Jewel Changi Airport. *TBTS* has a website for customers looking to buy toys online.

TBTS selects toys to sell that are excellent for play, value, design and quality. All *TBTS* toys are environmentally friendly.

(a) (i) Which **one** of the following is a form of promotion that targets a specialised segment of the market?

Select **one** answer.

(1)

- ☒ **A** Mass marketing
- ☒ **B** Niche marketing
- ☒ **C** Market share
- ☒ **D** Market analysis

(ii) Which **one** of the following is a financial aim for a business?

Select **one** answer.

(1)

- ☒ **A** Survival
- ☒ **B** Challenge
- ☒ **C** Social objectives
- ☒ **D** Personal satisfaction

(iii) Which **one** of the following is a variable cost?

Select **one** answer.

(1)

- ☒ **A** Rent paid
- ☒ **B** Management salaries
- ☒ **C** Insurance agreed
- ☒ **D** Raw materials

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4. Question 1 · part d · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part d only.

(iv) Which **one** of the following is a role of the production function?

Select **one** answer.

(1)

- ☒ **A** Workforce planning
- ☒ **B** Quality control
- ☒ **C** Customer service
- ☒ **D** Staff welfare

TBTS buys its balloon packs from a local supplier for 7.20 Singapore Dollars (SGD) a pack. It sells them to customers for 16.90 SGD.

(v) Which **one** of the following is the markup on a pack of balloons?

Select **one** answer.

(1)

- ☒ **A** 7.20 %
- ☒ **B** 9.70 %
- ☒ **C** 69.84 %
- ☒ **D** 134.72 %

TBTS sells balloons in packs of four at a price of 67.60 SGD.
The exchange rate is 1 SGD = 3.05 Malaysian Ringgit (MYR).

(vi) Which **one** of the following would a customer in Malaysia pay in MYR for 4 balloon packs?

Select **one** answer.

(1)

- ☒ **A** 16.90 MYR
- ☒ **B** 22.16 MYR
- ☒ **C** 67.60 MYR
- ☒ **D** 206.18 MYR

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4. Question 1 · part d · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part d only.

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(b) Define the term **primary sector**.

(1)

(c) Define the term **diseconomies of scale**.

(1)

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(d) State **one** factor *TBTS* should consider when selecting its manufacturers.

(1)

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Figure 1 is a financial extract from *TBTS* based on the sale of 160 wooden toy carts.

	SGD
Variable costs per unit	0.93
Fixed costs	555.31

Figure 1

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(e) Calculate the total costs for *TBTS* of making 160 wooden toy carts. You are advised to show your working.

(2)

SGD

4. Question 1 · part d · 1 mark · Working and answer

Working and answer

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5. Question 1 · part c · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part c only.

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1 *IKEA* is a well-known home furniture retailer with stores throughout the world. It was started in 1943 by Ingvar Kamprad when he was given some money by his father for doing well at school. He wanted to produce furniture at a price that people could afford to buy.

He realised that transporting furniture to customers was difficult as goods were often damaged. He developed flat packs to avoid damage. A flat pack contained all the materials needed to self-assemble a table, a chair or a bed.

All *IKEA* stores are run as franchises.

(a) (i) Which **one** of the following is a financial business objective?

Select **one** answer.

(1)

- ☒ **A** Challenge
- ☒ **B** Social objectives
- ☒ **C** Survival
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is an advantage to a business of using venture capital?

Select **one** answer.

(1)

- ☒ **A** It decreases access to other sources of finance
- ☒ **B** It keeps ownership in the business
- ☒ **C** It improves public relations
- ☒ **D** It can receive expert advice

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5. Question 1 · part c · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part c only.

A Canadian supplier of timber charges *IKEA* $19.75 Canadian Dollars (CAD) per load.

The exchange rate is $1 CAD = 6.58 Swedish Krona (SEK).

(iii) Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona?

Select **one** answer.

(1)

- ☒ **A** 151.98 SEK
- ☒ **B** 3 001.52 SEK
- ☒ **C** 19 750.00 SEK
- ☒ **D** 129 955.00 SEK

An *IKEA* dining table costs *IKEA* 3 800 SEK to make. The table sells for 4 400 SEK.

(iv) Which **one** of the following is the correct markup?

Select **one** answer.

(1)

- ☒ **A** 1.16%
- ☒ **B** 13.64%
- ☒ **C** 15.79%
- ☒ **D** 115.79%

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5. Question 1 · part c · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part c only.

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Figure 1 is a diagram of a product life cycle.

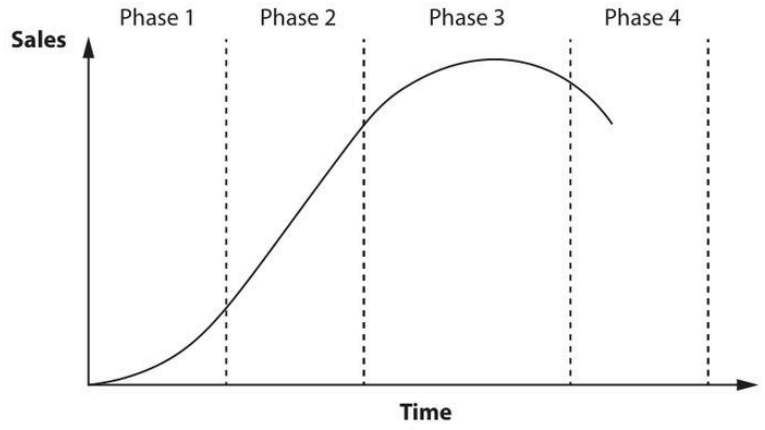


Figure 1

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(v) Which **one** of the following is Phase 3 of the product life cycle?

Select **one** answer.

(1)

- ☒ **A** Decline
- ☒ **B** Growth
- ☒ **C** Introduction
- ☒ **D** Maturity

(vi) Which **one** of the following are equal in a break-even graph?

Select **one** answer.

(1)

- ☒ **A** Fixed costs and variable costs
- ☒ **B** Fixed costs and revenue
- ☒ **C** Total costs and fixed costs
- ☒ **D** Total costs and revenue

5. Question 1 · part c · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part c only.

(b) Define the term **person specification**.

(1)

(c) Define the term **quality control**.

(1)

(d) State **one** reason why *IKEA* provides induction training for new employees.

(1)

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Figure 2 is an extract from *IKEA*'s Statement of Income for 2020.

	Euros (€) millions
Revenue	37 368
Cost of sales and services	25 643
Gross profit	11 725

Figure 2

(e) Calculate, to two decimal places, the gross profit margin for 2020. You are advised to show your working.

(2)

.....%

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P 7 2 9 5 3 R A 0 6 2 0

5. Question 1 · part c · 1 mark · Working and answer

Working and answer

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6. Question 2 · part b · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part b only.

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2 (a) State **one** reason why *Samsung* may need long-term finance.

(1)

(b) State **one** reason why quality control is a benefit to *Samsung*.

(1)

(c) Explain **one** advantage to a business of having a social objective.

(3)

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6. Question 2 · part b · 1 mark · Working and answer

Working and answer

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7. Question 2 · part e · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part e only.

2 (a) State **one** reason why *Artify Studio* would want to offer a high-quality service.

(1)

(b) State **one** advantage for *Artify* Studio of using part-time employees.

(1)

(c) Explain **one** benefit to a business of being a partnership.

(3)

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7. Question 2 · part e · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part e only.

(d) Explain **one** way social media can be used by a business.

(3)

(e) Explain **one** benefit for a business from the introduction of total quality management (TQM).

(3)

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7. Question 2 · part e · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part e only.

Artify Studio has decided to use public relations to improve its image.

It is considering two options:

Option 1: sponsoring a local art show in the Kampong Glam area

Option 2: having a stand at a national art exhibition in Singapore's capital.

(f) Justify which **one** of these two options *Artify Studio* should choose.

(9)

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7. Question 2 · part e · 3 marks · Working and answer

Working and answer

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8. Question 2 · part e · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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2 *M&M* is constantly working to maintain the standards and quality of its products.

(a) State **one** non-financial objective for *M&M*.

(1)

(b) State **one** reason why *M&M* could dismiss an employee.

(1)

(c) Explain **one** reason why branding is important to businesses.

(3)

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8. Question 2 · part e · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(d) Explain **one** way businesses ensure that all employees have equal opportunities.

(3)

(e) Explain **one** reason why businesses maintain the quality of their products.

(3)

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8. Question 2 · part e · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

M&M wants to remain the world's largest manufacturers of cars, vans and tractors. To do this it is always introducing new ways of keeping its customers interested. *M&M* is considering the following options.

Option 1: increase promotion of all vehicles

Option 2: make improvements to all vehicles.

(f) Justify which **one** of these two options *M&M* should choose.

(9)

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8. Question 2 · part e · 3 marks · Working and answer

Working and answer

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9. Question 2 · part e · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

2 (a) State **one** financial method of motivation *CCT* could use with its employees.

(1)

(b) State **one** benefit to *CCT* of satisfying customer needs.

(1)

(c) Explain **one** way a business could increase its profit.

(3)

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9. Question 2 · part e · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(d) Explain **one** way that the introduction of tariffs might affect a business importing goods.

(3)

(e) Explain **one** reason why quality control is important to a business.

(3)

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P 7 8 7 9 5 A 0 9 2 0

9. Question 2 · part e · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

The owner of *CCT* wants to measure the success of the business.

The owner is considering two options:

Option 1: customer satisfaction

Option 2: profit.

(f) Justify which **one** of these two options the owner of *CCT* should choose.

(9)

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9. Question 2 · part e · 3 marks · Working and answer

Working and answer

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10. Question 2 · part c · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

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2 (a) State **one** factor *Four Fitness* may consider when choosing a location for its new gym.

(1)

(b) State **one** reason why branding is important to *Four Fitness*.

(1)

(c) Explain **one** advantage to a business of using total quality management.

(3)

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10. Question 2 · part c · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

(d) Explain **one** problem a business might face as a result of ineffective communication.

(3)

(e) Explain **one** disadvantage to a small business of borrowing money from a bank.

(3)

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10. Question 2 · part c · 3 marks · Working and answer

Working and answer

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11. Question 4 · part b · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

4 *Huawei* has to maintain the quality of its products to be able to compete with other businesses, as well as generating profit. It must also ensure that the products it produces meet the needs of its customers as well as introducing new and different forms of technology. On its website it states '*Huawei* are committed to bringing digital to every person, home and organisation for a fully connected, intelligent world'.

In January 2019 *Huawei* launched the *Huawei* 10 Pro smartphone in the US at a cost of 5 353 Renminbi (CNY).

The exchange rate was $1 = 6.70 CNY (Chinese Yuan Renminbi)

(a) Calculate the cost of this smartphone in US Dollars. You are advised to show your working.

(2)

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11. Question 4 · part b · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

(b) Analyse why *Huawei* would want good quality control when producing its smartphones.

(6)

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11. Question 4 · part b · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

(c) Evaluate why *Huawei* would carry out market research before designing a new product. You should use the information provided as well as your own knowledge of business.

(12)

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11. Question 4 · part b · 6 marks · Working and answer

Working and answer

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12. Question 4 · part b · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part b only.

4 In 2022 the current assets for *Premier Inn* were £9 566 million and current liabilities were £5 447 million.

(a) Calculate, to two decimal places, the current ratio in 2022. You are advised to show your working.

(2)

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SCHOOL

12. Question 4 · part b · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part b only.

(b) Analyse the importance of making sure that guests have a quality service when staying at a *Premier Inn*.

(6)

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12. Question 4 · part b · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part b only.

(c) Evaluate why a business such as *Premier Inn* would only consider profit to measure its success. You should use the information provided as well as your own knowledge of business.

(12)

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12. Question 4 · part b · 6 marks · Working and answer

Working and answer

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13. Question 4 · part c · 12 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

4 *NEXT* continually monitors progress so that it can measure the success of its business. It aims to do this through improving manufacturing techniques and cutting costs, whilst still maintaining the quality of the goods produced.

Figure 2 shows selected financial information for *NEXT* in 2019.

	2019 (£m)
Revenue	4 221
Operating profit	590

Figure 2

(a) Calculate to two decimal places the operating profit margin for *NEXT* in 2019. You are advised to show your working.

(2)

.....%

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13. Question 4 · part c · 12 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

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(b) Analyse the effects for *NEXT* of an increase in UK interest rates.

(6)

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13. Question 4 · part c · 12 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

(c) Evaluate the importance for *NEXT* of maintaining quality throughout all of its manufacturing processes. You should use the information provided as well as your own knowledge of business.

(12)

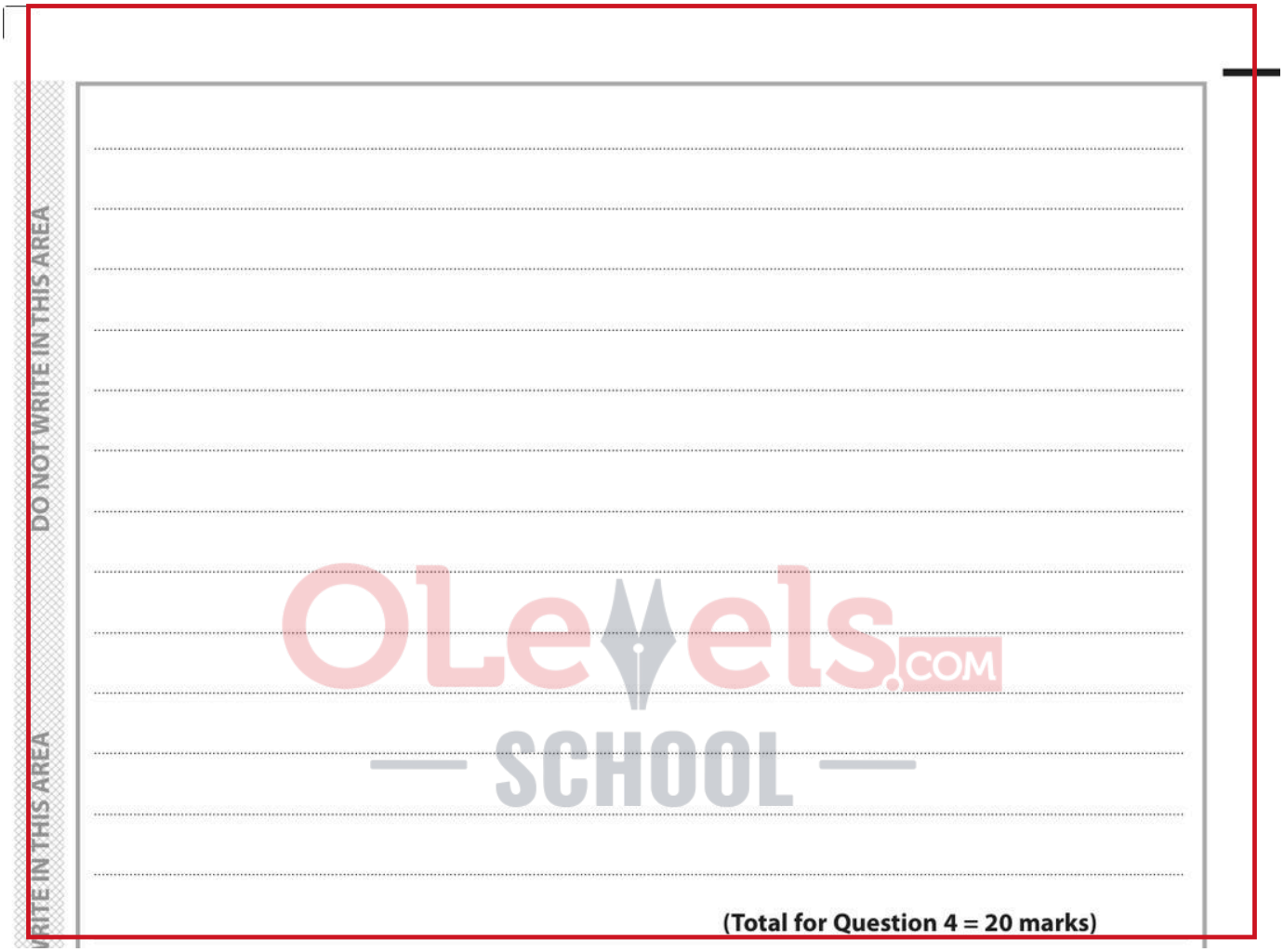
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13. Question 4 · part c · 12 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.



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13. Question 4 · part c · 12 marks · Working and answer

Working and answer

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14. Question 4 · part c · 12 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.

4 **Figure 2** shows the total cost to *TUI* of employees' salaries.

Total cost of employees	€ '000
2021	39 631
2022	57 498

Figure 2

(a) Calculate, to two decimal places, the percentage increase in the total cost of employees from 2021 to 2022. You are advised to show your working.

(2)

.....%

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14. Question 4 · part c · 12 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.

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(b) Analyse how *TUI* could make use of the Boston Matrix to review all the different types of holidays it offers.

(6)

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14. Question 4 · part c · 12 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.

(c) Evaluate the benefits for *TUI* of providing a quality service. You should use the information provided as well as your own knowledge of business.

(12)

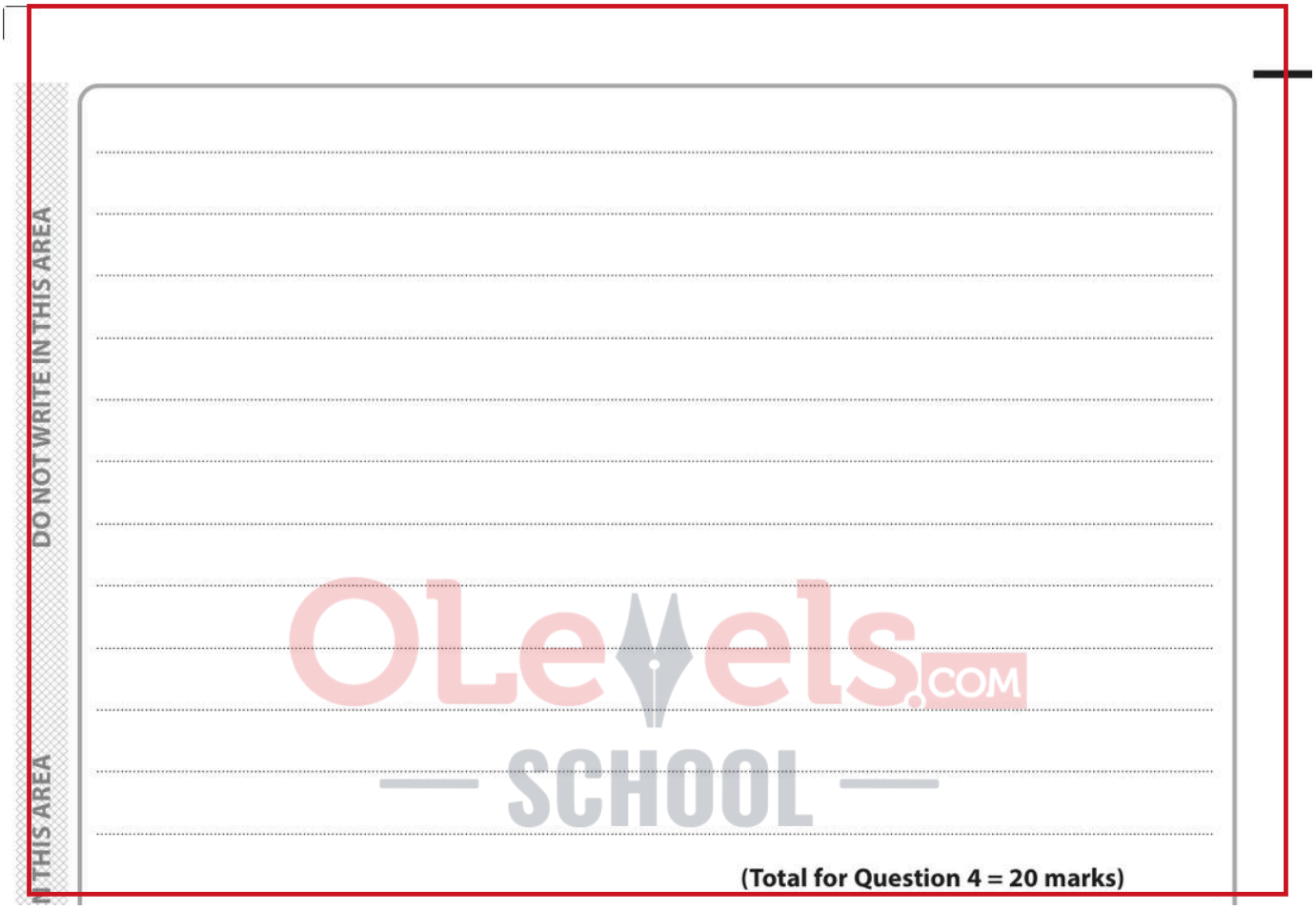
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14. Question 4 · part c · 12 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.



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14. Question 4 · part c · 12 marks · Working and answer

Working and answer

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15. Question 4 · part c · 12 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

4 **Figure 3** is an extract from *Saha*'s statement of financial position.

	TRY (million)
Current assets	12
Inventory	4
Current liabilities	7

Figure 3

(a) Calculate, to two decimal places, the acid test ratio for *Saha*. You are advised to show your working.

(2)

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15. Question 4 · part c · 12 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

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(b) Analyse the benefits for *Saha* of becoming a multinational business.

(6)

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15. Question 4 · part c · 12 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

Saha aims to manufacture robots that are high quality and long lasting.

(c) Evaluate the effects on *Saha* of introducing total quality management (TQM) to its business. You should use the information provided as well as your own knowledge of business.

(12)

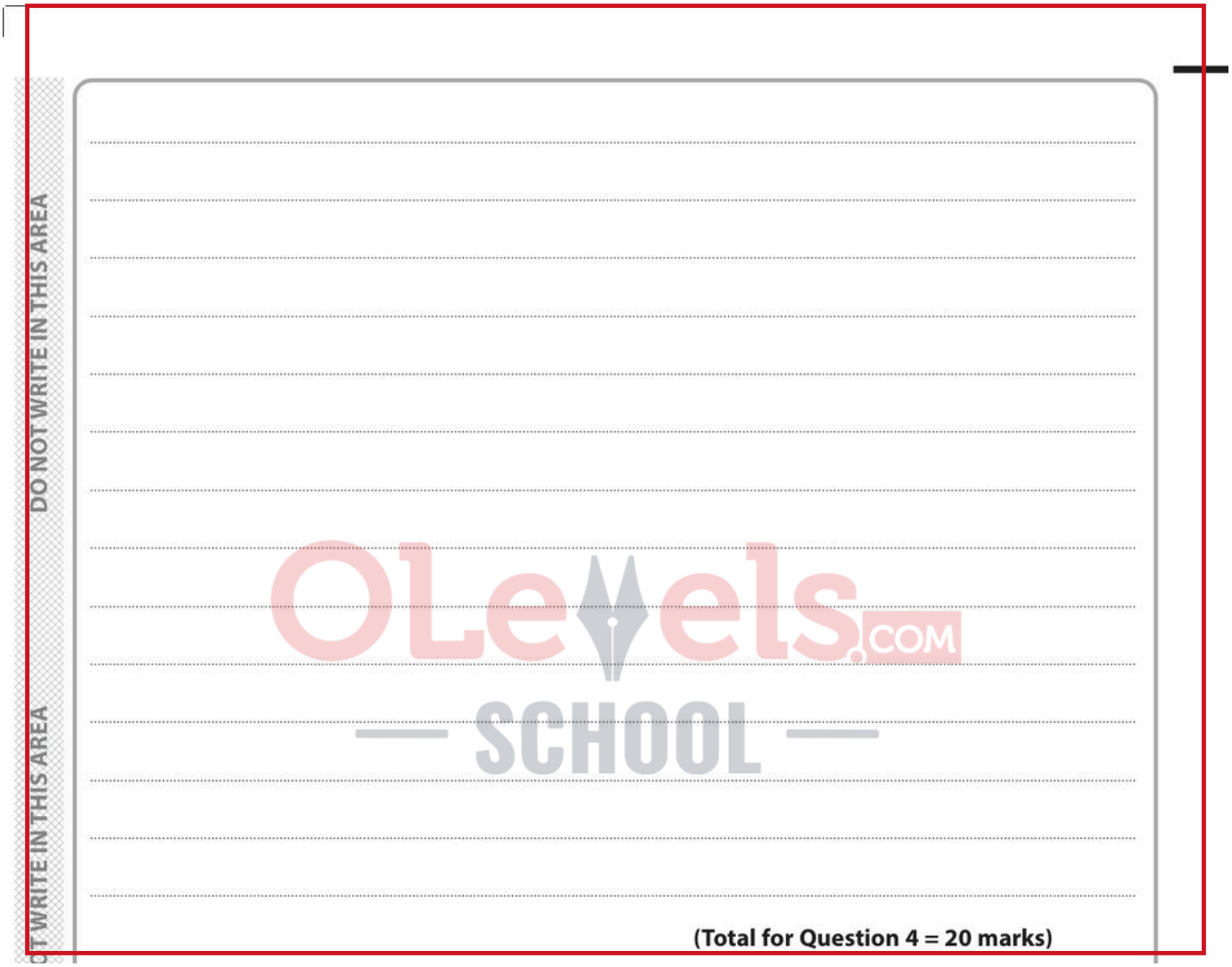
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15. Question 4 · part c · 12 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.



15. Question 4 · part c · 12 marks · Working and answer

Working and answer

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16. Question 4 · part c · 12 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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4 A *Yellow* T-shirt costs 11.05 Bangladeshi Taka (BDT) to manufacture. *Yellow* then sells them for 13.75 BDT.

(a) Calculate the gross profit for *Yellow* if it sold 14,000 T-shirts. You are advised to show your working.

(2)

BDT

Many customers of *Yellow* use social media.

(b) Analyse the disadvantage for *Yellow* of customers using social media.

(6)

OLevels.COM SCHOOL

16. Question 4 · part c · 12 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Yellow prides itself on using the following principles:

- sells a wide range of fashionable clothing
- limited advertising
- clothes are sold to a wide demographic
- clothes from suppliers are ready to go straight onto store shelves.

(c) Evaluate how *Yellow* may have gained a competitive advantage in the clothing market. You should use the information provided as well as your own knowledge of business.

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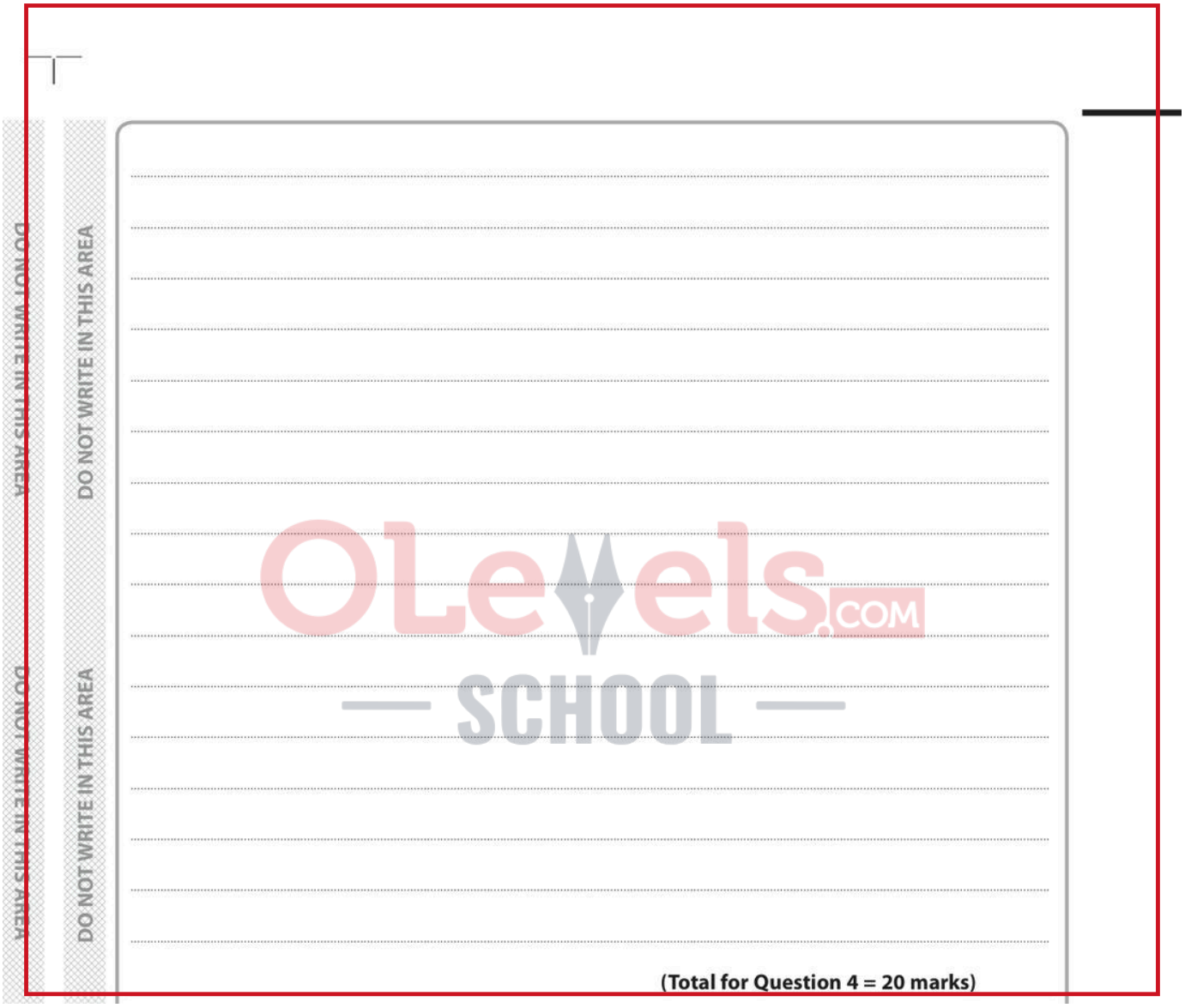
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16. Question 4 · part c · 12 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.



16. Question 4 · part c · 12 marks · Working and answer

Working and answer

OLevels.com SCHOOL

17. Question 4 · part c · 12 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.

4 In 2019 *LEGO* had current assets of 34 946 million DKK and current liabilities of 12 763 million DKK.

(a) Calculate, to two decimal places, the current ratio in 2019. You are advised to show your working.

(2)

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17. Question 4 · part c · 12 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.

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Quality has always been one of *LEGO*'s main values. It wants everything that it makes and sells to be the best so its toys can help children learn and develop. It has a motto that 'only the best is good enough'. The founder of *LEGO* set a company rule that 'No one must be able to do this, better than us'. He also stated that he wanted 'only the best people that money could buy' to work at the business.

(b) Analyse the benefits to *LEGO* of increasing the use of robotics in the manufacture of toys and games.

(6)

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17. Question 4 · part c · 12 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.

LEGO has progressed from a small carpenter's shop to a global enterprise and has been named 'Toy of the Century' twice.

(c) Evaluate how *LEGO* has maintained a competitive advantage in the making of toys and games. You should use the information provided as well as your own knowledge of business.

(12)

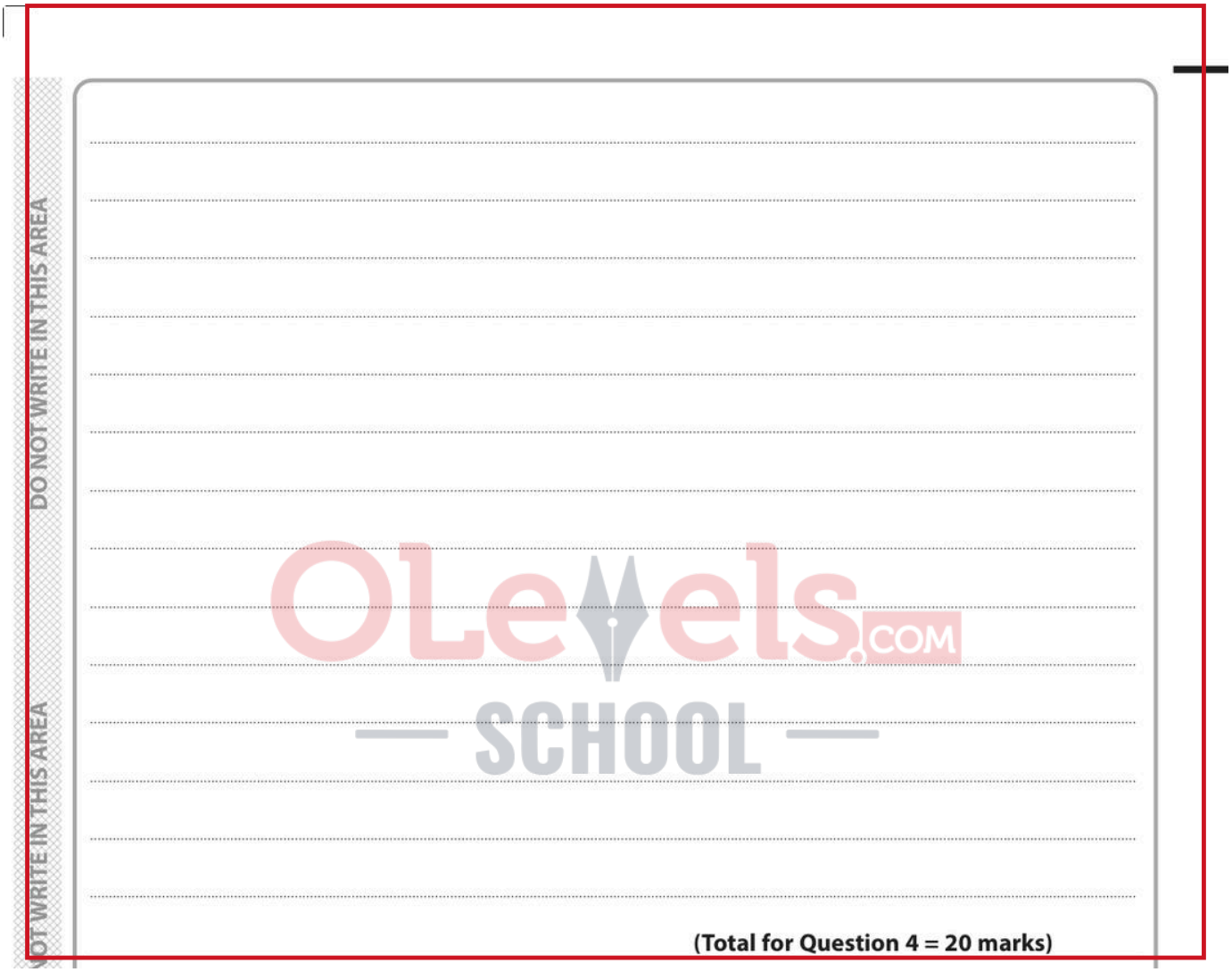
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17. Question 4 · part c · 12 marks

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17. Question 4 · part c · 12 marks · Working and answer

Working and answer

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